Annual Implementation Report of the Republic of Moldova Digital Transformation Strategy 2023-2030

Executive Summary:

The implementation of the Republic of Moldova Digital Transformation Strategy (MDTS) is a priority for the Government of the Republic of Moldova in order to align with the European and international standards of a modern and innovative digital society. The MDTS was adopted by Government in September 2023 and with an aim of supporting Moldova's efforts in achieving the UN Sustainable Development Goals and aligning with existing European policies and standards in the digital field.

To support efforts to implement the MDTS, several initiatives were undertaken in 2023, including the establishment of the National Digital Transformation Council (NDTC). One of the main objectives of the strategy is the digitalization of public services, and the results achieved in 2023 show significant progress in this respect: both the increase in the percentage of digitalized public services and the number of requests for e-services for the business environment (70%).

To ensure a secure digital environment for citizens, various legislative and institutional updates have been made. One of the successes of the Ministry of Economic Development and Digitalization (MDED) in this regard is the establishment of the Agency for Cyber Security. This will ensure an appropriate legal and institutional framework in the field of cybersecurity.

Partnerships and collaborations with donors and external organizations have played a crucial role in supporting digital transformation efforts, helping to access the necessary resources and expertise. In 2024, efforts to implement external assistance projects will continue, with a focus on coordination and alignment with strategic objectives.

The main challenges identified concern the low availability of financial and human resources. In addition to these challenges, institutional rigidity sometimes hampers and slows down digitalization efforts.

2024 will be dynamic year, in which the digital transformation process of the Republic of Moldova will continue. In addition to the projects to digitalize society as a whole, governance elements and programs detailing the strategy's action plans will be finalized.

1 Introduction:

The Republic of Moldova Digital Transformation Strategy 2023-2030 (MDTS) represents a commitment of the Government of the Republic of Moldova to align the Republic of Moldova with the European standards of a modern and innovative digital society.

This strategy has been developed on the basis of the principles set out in **the United Nations 2030 Agenda for Sustainable Development**, indirectly contributing to the achievement of all the Sustainable Development Goals, and directly to *Goal 9 – Industry Innovation and Infrastructure*. The Strategy is also aligned with **the Digital Compass 2030**, the **Digital Decade**, and **the Association Agreement of the Republic of Moldova with the European Union,** thus ensuring a framework for aligning the country with existing policies at European level.

At national level, this strategy aligns itself with the **National Development Strategy "European Moldova 2030"** – which is the country's long-term strategic vision document, and which includes the country's national and international commitments. Along also exists with the **National Plan "Building European Moldova" 20 Government Priority Actions**. Although the objectives and efforts undertaken through the strategy will lead to the indirect achievement of several priority actions of the Plan, the priority action directly targeted in the Strategy is *Action 5 – Digitalization of Public Services*.

This report is an essential element of the implementation effort of the MDTS, as it identifies and summarizes the main strengths and achievements in the field of digitalization, as well as the main challenges and barriers encountered in the implementation process.

While the Strategy was approved in September 2023 and was only in force for 3 months in 2023, this report will identify both initiatives and procedures that have been undertaken by the institutions responsible to operationalize the implementation of the strategy, as well as the result indicators that can be measured for 2023.The conclusions identified in this report will be used in the design and implementation of public policies in the field of digital transformation for the Republic of Moldova.

2 Overview of progress:

2.1 Review of Objectives and Appraisal of Progress:

The implementation of the MDTS will enable the Republic of Moldova to become an innovative and inclusive digital society with advanced digital skills, robust digital infrastructure, pro-digital governance, and a business community that maximizes digital opportunities. To achieve this vision, the Strategy includes a set of **6 general objectives, detailed in 62 sub-objectives (sometimes called priority directions) to support the achievement of 33 result indicators.**

For this annual implementation report, the review of progress includes:

- **quantitative elements**, such as measurement of result indicators (those indicators that can be measured for 2023);
- **qualitative elements**, such as key measures in the field of public policies, development of implementation programs, organization of governance elements related to the strategy, etc.

2.1.1 Analysis of Progress:

2.1.1.1 Operationalization of the Strategy

To support efforts to coordinate and implement the Strategy, the National Digitalization Transformation Council (NDTC) was established on 27 November 2023 by order of the Minister for Economic Development and Digitalization. The NDTC has the role of coordinating the implementation of the Strategy and approved programs to achieve the MDTS' vision and strategic objectives. The first NDTC meeting took place on 11 December 2023, where the following steps in the implementation of the Strategy were agreed:

- Development of sectoral implementation programs to support the implementation process;
- Consultation of the programs with the NDTC; and,
- Establishment of sectoral working groups to support the NDTC in coordinating the implementation of the programs.

2.1.1.2 Strategy implementation activities

One of the main objectives of the Strategy, which is also found in the National Plan "Building European Moldova" is to digitalize public services and increase their adoption among individuals and businesses. Since the adoption of the Strategy in September 2023 through the end of 2023 2023, the percentage of digitalized public services increased from 38% to more than 50%. The services were digitalized with the support of the Electronic Governance Agency, implementing the Government Services Modernization Project (MGSP), implemented with the support of the World Bank Group. During 2023, through the project, 41 government to citizen public services predominantly were digitalized: civil status documents, cadastral documents, criminal records, apostille services, documents from the national archive, extracts from registers, and others. In addition, 4 public services for businesses were also digitalized.

At the end 2023, 70% of the requests for business services (G2B) were online. Two (2) out of three (3) entrepreneurs prefer to use online services and only 30% of requests are still in-person. Out of 3.7 million requests for various services for business, 2.48 million were provided online and 1.1 million were in-person. MDED ensures the transparency of the digitalization process of services by proactively publishing data on the Ministry's website and updating this data quarterly.

In addition to the successes in digitalizing public services, Moldova joined the Digital Europe Programme on 19 February 2024. Moldova is eligible for 4 of the 5 components of the Programme: Artificial Intelligence, Digital Skills, Digital Transformation, and Connectivity. Private, public, and civil society entities in the Republic of Moldova can apply with innovative initiatives to receive funding. The Programme has a total value of 7.5 billion euros divided among member countries. Moldova will benefit from an exemption of 95 % of the annual financial contribution as a member of the Programme.

2.1.2 Result Indicators:

Monitoring of result indicators is an essential process for the successful implementation of any strategic document. This process provides an overview of the impact of the projects and activities carried out, the current situation in various areas it measures against the proposed target, as well as the analysis of the main bottlenecks and problems related to the strategy implementation process. Conclusions drawn from analysis of result indicators can serve and guide the further development of public policies to adjust and align existing and proposed efforts to achieve strategic objectives.

The MDTS includes 33 result indicators, which measure progress against the six (6) objectives:

Objective No	Objective title	Number of result indicators
1	Developing a digital society	8
2	Developing a robust and competitive ICT sector	3
3	Creating an innovative and resilient digital economy	7
4	Establishing an efficient, smart and transparent digital state	5
5	Creating an accessible, secure and inclusive digital environment	4
6	Strengthening the image of the Republic of Moldova as a digital nation	6

Given that in 2023 the MDTS was approved in September, much of the data needed to monitor result indicators have not yet been collected and/or published. Therefore, in order to have a transparent process to identify the monitoring indicators to be included in this implementation report, two (2) key criteria to identify the availability of data for monitoring and quantification have been established:

- Relevant and current data for the reporting period (September-December 2023) are available online (open source);
- Relevant and current data for the reporting period (September-December 2023) are available in public institutions;

The analysis of each result indicator and the data needed to monitor the related progress have identified 11 indicators available for reporting in the MDTS' first annual report:

No. Objective	Indicator	Reference value (2022)	2023 value	Target 2026	2030 target
1	Share of citizens who have an active digital identity	9%	9%	30%	70%
1	Share of population with 100Mbps connectivity	12%	51.8%	50%	75%
3	Share of essential online digital services available to companies (opening, management, closing a remote business)	N/A	55.2 %	75%	100%
4	Share of public services available online	40%	52.8%	80%	100%
4	Share of public services accessed online by natural persons from the total provided public services, %	N/A	34%	40%	65%
4	Share of public services accessed online by legal entities from the total of provided public services, %	N/A	70%	60%	85%
5	Functional National CERT	No	No	Yes	Yes

Based on the data existing at the time of the preparation of this report, some successes in achieving result indicators can be observed at 2023 level, namely:

- **The share of population with 100Mbps connectivity** – a value reported at the end of 2023 of 51.8 % indicates that the efforts made exceeded the targets assumed for 2026. Current efforts suggest Moldova may reach or exceed the 75 % target for 2030 before the deadline.
- **The share of public services accessed online by legal entities from the total provided public services –** was 70 % successful, 10 % above the target assumed in 2026. This indicates a success of digitalization and communication efforts between business and state institutions.

- **The share of public services available online** (52.8 %), 2.8 % more than the target assumed for 2023, taking into account a uniform annual growth calculation.

To improve the quality of the monitoring, reporting and evaluation process, a set of activities will be carried out in 2024 to finalize governance arrangements around the strategy implementation process. These activities include, but are not limited to:

- Detailing the result indicators and developing the **"indicator passport"** allowing for continuous monitoring, as well as the development of related explanatory notes for a better understanding and interpretation of the data.
- Establishment **of the Strategic Delivery Unit (SDU)** within the eGovernment Agency. The SDU will be responsible for the implementation, monitoring, evaluation efforts, ensuring effective coordination between the relevant actors involved. In its work, the SDU will work in coordination with the NDTC, MDED, and eGA, to ensure a harmonious and coordinated implementation process.
- **Mechanisms for identifying and reporting bottlenecks in the implementation of** the strategy, as well as methods to identify solutions to remove bottlenecks, will be detailed. These mechanisms will be used by the SDU both to inform MDED and eGA about potential bottlenecks, but also to generate possible solutions.

Also, in 2024, the **NDTC will continue its work.** In this regard, MDED (acting as the NDTC Secretariat) and the SDU will coordinate and ensure the regular meeting of the NDTC to discuss the progress and problems identified in the implementation of the MDTS.

2.2 Updates to Legislation, Policies, and Regulations:

One of the key factors that condition the successful implementation of STDs is the existence of an up-to-date institutional and legal framework aligned with European institutional standards. In this respect, in 2023, MDED made more efforts in the legislative and institutional area.

2.2.1 Policies and regulations

In the field of public policies and legal regulations, the following activities have been carried out, presented in the table below:

No.	Policies and regulations	Objective supported
1	Approval of the legal framework on cybersecurity (Law No 48/2023). This initiative aims to provide the general regulatory framework for ensuring a high common level of cybersecurity of networks and information systems used to provide critical infrastructure services in the Republic of Moldova, responding to the increasingly complex cyber threats they face.	5
2	Approval of the legal framework on the establishment, organisation and functioning of the Agency for Cybersecurity (GD no.1028/2023).	5
3	Approval of Government Decision No 671/2023 on professional	5

	development in the field of cybersecurity	
4	Approval of the draft Government decision on the government service for remote identification of the person (e-KYC).	4
5	Approval of Government Decision No 5/2024 on the integrated governmental application EVO. The launch of the first module is planned in the first quarter of 2024.	4
6	Approval of the draft Government decision on the hosting and sharing platform of documents (MDocs).	4
7	Creating the regulatory framework for stimulating the development and use of electronic services (Law No 321/2023). Regulation of the Digital Identity Card, Digital Driving Licence, Digital Registration Certificate and elements concerning their generation and use.	4
8	Promotion of the draft Government decision on the approval of the draft law amending Law no.114/2012 on payment services and electronic money.	3, 4
9	The extension until 2035 of the term of operation of Moldova IT park, the state guarantee on the single tax and the call centers and contact centers activity types eligible to be carried out in the IT park.	4
10	Contactless Business Regulation – Law no.126/2023 on remote identification and interaction; the conduct of economic activity and the performance of teleworking.	2, 3
11	Facilitating online commerce through Law No 77/2023, which provides for the simplification of cross-border parcel deliveries.	2, 3
12	Approval of the draft Government Decision approving the Concept of the Platform for Supporting Participatory Democracy (e-Democracy).	4

2.2.2 Institutions

The establishment of **the National Agency for Cyber Security (ASC)** is a major success of the Ministry of Economic Development and Digitalization in 2023. The ASC will support efforts to implement the strategy and fulfil the following functions to ensure a secure digital development framework:

- Identifying and recording service providers;
- State supervision and control of compliance by service providers with the provisions of the law;
- National and international cooperation and information exchange on cybersecurity;
- Single national point of contact;
- National cyber incident response team;
- Methodological and regulatory guidance function; and,
- Research and Development.

The Director of the Agency was appointed in March 2024, with further efforts to operationalize the ASC, such as identifying physical space for the institution and employing staff. Operationalization of the ASC will support the achievement of MDTS Objective 5 “Creating an accessible, secure and inclusive digital environment”.

3 Partnerships and Collaborations:

The Government of the Republic of Moldova enjoys external support and assistance in the process of digital transformation of the country. **The impact** of the collaborations and partnerships in digital transformation is of major importance and relevance. Most of the successes achieved in 2023 for digital transformation were delivered through partners with the Government and partners.

As implementation of the MDTS continues, coordination of digital transformation projects and programs with external partners is a **priority** for the Government. In this respect, the Government of the Republic of Moldova together with its partners will continue the efforts to identify, prioritize and allocate resources efficiently in order to maximize their efficiency in achieving the objectives of the Strategy.

4 Lessons learned and opportunities

The MDTS envisions Moldova as a regional leader in capitalizing on technological progress for the well-being of citizens. Achieving this vision requires close and coordinated collaboration between all key actors: the private sector, the public sector, civil society, and partners.

The detailed analysis of the actions carried out in 2023 revealed a number of challenges as well as learning opportunities for the future:

	Lessons learned	**Opportunities**
1	Further coordination with external partners is needed to unlock financial resources.	The cost of digitalizing public services is higher than the existing financial resources available for Government. The expertise and support provided by external partners are crucial. In 2024, MDED and its external partners will cooperate to prioritize needs, and to ensure that the financial resources allocated are geared towards achieving impact, through the NDTC and sectoral working groups.
2	Overcoming institutional rigidity for more effective interactions with business and citizens is an integral part of the transformation.	Both the public and private sectors are relatively slow in adapting practices that reduce work and increase labor productivity. A clear example is the use of corporate stamps: even though they are no longer mandatory. There has also been reluctance to capitalize on data from interconnected information systems and slow adoption of electronic signatures. The government will continue to invest in interoperable platforms and e-government solutions to facilitate access to information and public services.
3	Human resources are critical to Moldova's success in the digital transformation process.	The "brain drain" phenomenon, which has been characteristic of the Republic of Moldova in the last 30 years, negatively affects the public and private sectors' capacity to innovate and modernize. Access to a highly skilled and trained workforce is critical to achieve the MDTS, but competition in the labor market is strong for such resources. MDED and its partners will identify opportunities to capitalize on the most important existing resource – talented human resources – for the most important projects in 2024. Increased attention also be put on upskilling and resource sharing of existing resources across digital initiatives.

Digital transformation is a complex and long-lasting process that requires continuous efforts, perseverance, and adaptability from all parties. Much of the next efforts to implement the MDTS will be concentrated in the following areas:

- Detailing the three sectoral programs. These programs will serve as annual action plans for digital transformation efforts for the coming years in the Republic of Moldova.
- Developing inclusive governance structures and processes to support an accelerated pace of implementation for digital projects. These include: operationalization of the working groups of the NDTC; intensify collaboration between government institutions, as well as proactive collaboration with the private sector and civil society to support the implementation of the strategy.
- Doubling efforts to reduce bureaucracy, with a focus on digitalizing and simplifying government services, to serve the needs of an inclusive, technological, and modern state.
- Operationalizing the ASC to support the security of the country's digital infrastructure and increase the country's resilience in an increasingly complex digital world.

2024 will certainly be a dynamic year, full of many activities aimed at supporting Moldova's digital future. Proactively addressing the challenges identified and taking advantage of the lessons drawn are essential to ensure the success of this transformation. MDED and its partners will continue to work throughout 2024 to identify opportunities for improvement and turn these lessons into opportunities to accelerate Moldova's digitalization process.

5 Annexes

- https://mded.gov.md/transparenta/64373-2/
- https://mded.gov.md/transparenta/servicii-publice-digitalizate/